Financial Modelling: 10-Year Wealth Simulator

Discover Money Buckets, Compounding Magic, and Smart Investment Strategies!

1. The Power of Small Savings & The Three Money Buckets

If you save just **₹100 every month**, how much will you have by age 20? Managing money effectively starts with understanding where your money comes from and where it goes.

💰 1. Income Bucket (Money IN)

All the money coming into your hands.

Example: ₹200 monthly allowance + ₹500 Diwali gift money.

💸 2. Expenses Bucket (Money OUT)

All the money spent on items you consume or buy.

Example: ₹30 samosa + ₹150 gaming skin.

🌱 3. Savings Bucket (Money KEPT & GROWN)

Money you keep safe in a piggy bank or plant into smart investments that expand over time!

2. Chota Packet, Bada Dhamaal: The Magic of Compounding

✨ How Compounding Works

Small savings today lead to BIG money tomorrow! When you earn interest on both your original money and the interest previously earned, your wealth accelerates exponentially over time.

Timeline	Annual Investment / Base	Growth Rate (Interest)	Total Accumulated Value
Year 1	Save ₹1,000	10%	**₹1,100**
Year 2	Save ₹1,000 + Previous Balance	10%	**₹2,310**
Year 10	Continuous Annual Contributions	10%	**₹17,500!**

3. Savings vs. Investment: What's the Difference?

🚲 Savings = Bicycle with Training Wheels

Safe, simple, and low returns. Your money remains protected but grows very slowly in a piggy bank or basic account.

🚀 Investment = Rocket with Helmet

Involves calculated risk and requires patience, but offers higher returns that can turn small amounts into significant wealth over time!

4. Wealth Simulator: Aarav's Case Study

Aarav gets **₹500 pocket money** every month. Let's compare his two choices over 10 years:

Option A: Piggy Bank Only

- Spends ₹450, saves ₹50 in piggy bank monthly.
- **Result at Age 20: ₹600** total accummulated savings.

Option B: Smart SIP Investment

- Spends ₹300, invests ₹200 monthly in a Systematic Investment Plan (SIP) at 10% interest.
- **Result at Age 20: ₹5,200** accumulated wealth.

📈 Key Simulation Insight

Aarav earns **₹4,600 MORE** simply by investing smartly! Set your monthly investment (₹50 to ₹500) and expected return (5% to 15%) in a wealth simulator—the growth curve sharply shoots up after **Year 5**!

5. Opportunity Cost & Inflation

🎁 The ₹2,000 Birthday Gift Decision

- **Choice 1 (Instant Gratification):** Buy a video game today for ₹2,000 — fun right now, but the value is gone forever!
- **Choice 2 (Wealth Building):** Invest ₹2,000 for 10 years at 10% return — grows to **₹5,180** by age 20!

🍪 Inflation: The Invisible Cookie Monster!

Prices increase over time! A ₹5 cutting chai & biscuit in the past now costs ₹10. Inflation acts like an invisible cookie monster eating the purchasing power of your cash. Because money **TODAY** buys more than the same money **TOMORROW**, saving alone isn't enough—you must invest to beat inflation!

6. Take-Home Project: Pocket Money Audit

📋 Family Pocket Money Audit Checklist

- **List All Income:** Document pocket money, festive gifts, and cash rewards.
- **Track Spending:** Record purchases on snacks, toys, games, and entertainment.
- **Plan Monthly Savings/Investments:** Allocate a fixed portion of your income into savings/SIP every month!

Student Practice Sheet

Financial Modelling & 10-Year Wealth Simulator

Name: ______________________________ **Date:** _______________

Q1. Name the three "Money Buckets" and give one example of what goes into each bucket.

Q2. What is the concept of "compounding" in financial planning, and why does money grow faster after 5 years?

Q3. Compare Savings and Investment using the slide analogies (Bicycle vs. Rocket). What are the main differences in risk and return?

Q4. In Aarav's case study, how much additional wealth did Option B (investing ₹200/month at 10%) generate compared to Option A (saving ₹50/month in a piggy bank) at Age 20?

Q5. Why is Inflation referred to as the "Invisible Cookie Monster"? How does it affect the value of cash kept under a mattress?

Q6. If you receive a ₹2,000 birthday gift, what is the difference between spending it on a video game today versus investing it for 10 years at a 10% annual return?

Q7. *Wealth Simulator Challenge:* Design your own monthly financial budget based on the "Pocket Money Audit". Calculate how much you would save, spend, and invest if you received ₹400 per month.